

**Kesatuan Pekerja-Pekerja Keretapi Tanah Melayu Bhd v
Menteri Sumber Manusia & Ors** A

COURT OF APPEAL (PUTRAJAYA) — CIVIL APPEAL B
NO W-01(A)-526-08 OF 2018
ABDUL KARIM, NOR BEE ARIFFIN AND GUNALAN MUNIANDY
JJCA
7 JULY 2021

*Administrative Law — Rules of natural justice — Right to be heard — Human
Resources Minister granted recognition to newly-registered trade union to represent
train drivers already represented by appellant — Appellant was not consulted or
heard before Minister granted the recognition ('decision') — Whether Minister's
decision was invalid for breaching rules of natural justice as decision caused
appellant to lose sizeable number of its members to the new trade union
— Whether appellant's legitimate expectation to be consulted or heard was also
breached — Whether High Court was wrong to find Minister's decision was valid
on the basis s 9 of the Industrial Relations Act 1967 did not require appellant to be
consulted or heard before recognition was granted — Whether High Court's verdict
had to be set aside and Minister's decision quashed* C D E

The appellant was, since 1961, a trade union of workmen in different job
functions employed in Keretapi Tanah Melayu Bhd ('KTMB'). By way of a
judicial review ('JR') application, the appellant sought to, inter alia, quash the
decision of the first respondent ('R1') to accord recognition to the fourth
respondent ('R4') to represent non-executive train drivers in KTMB who had
been members of the appellant. R1's decision to accord recognition was made
pursuant to his powers under s 9(5) of the Industrial Relations Act 1967 ('the
IRA') after a secret ballot carried out earlier under the IRA revealed that
85.58% of train drivers in KTMB had become members of R4. Apart from an
order of certiorari, the appellant also sought to declare R1's decision as void for
breaching the principles of natural justice as enshrined in arts 5 and 8 of the
Federal Constitution. The appellant's complaint was that since it had for
decades represented all non-executive employees in KTMB, including the train
drivers, natural justice and the doctrine of legitimate expectation demanded
that it should have been consulted or heard before recognition was accorded to
R4 since the appellant stood to lose a significant number of its members to R4.
The High Court dismissed the JR application, inter alia, on the ground that s 9
of the IRA, under which the recognition was accorded, did not require the
appellant to be consulted or heard. The court was of the view that an existing
trade union's right to be heard or consulted only applied when a new trade
union, seeking to represent the same class of workmen that the existing union
represented, sought registration under s 12(2) of the Trade Unions Act 1959 F G H I

- A (‘the TUA’). The court held that since s 9 of the IRA did not state that an existing trade union had to be consulted, the appellant could not claim that it had a legitimate expectation to be consulted or heard before recognition was accorded to R4. In the instant appeal against the High Court’s decision, apart from revisiting its arguments concerning the principles of natural justice and
- B the doctrine of legitimate expectation, the appellant submitted that the High Court erred in reading s 9 of the IRA in isolation. The appellant submitted that provisions concerning a trade union’s recognition under the IRA and registration under the TUA were intertwined and had to be read together since
- C both processes required the respective authorities under the IRA and the TUA to be satisfied, based on evidence and consultation with other players in an industry, that it was necessary to have another trade union to represent the same class of workmen who were already represented by an existing trade union.
- D **Held**, unanimously allowing the appeal, setting aside the High Court’s decision and quashing the impugned decisions:
- E (1) The impugned decisions of the first and third respondents to accord recognition to R4 were flawed in law for breach of established principles/rules of natural justice and administrative law that were guaranteed by the Federal Constitution (see para 93).
- F (2) The High Court erred in holding that as the third respondent had complied with s 12 of the TUA with regard to R4’s application for registration as a trade union, there was no requirement under s 9 of the IRA for the appellant to be consulted before recognition was accorded to R4. This was a fundamental error inconsistent with basic principles of
- G natural justice which required a right to be heard to be granted to the appellant as the sole or umbrella union vested with the right to represent non-executive employees of KTMB in service negotiations with the latter. Parties who were likely to be adversely affected by the decision of a person or body exercising statutory or administrative powers were entitled as of right to be heard before the decision was made (see paras 53 & 93).
- H (3) The first and third respondents acted in violation of the appellant’s legitimate expectation to be consulted and to be given an opportunity to make representations and/or to participate in the recognition process for R4 before any decision was made that ultimately affected the rights of the
- I employees represented by the appellant. The doctrine of legitimate expectation was a creature of common law and was entrenched in the Federal Constitution. It did not depend on any legislative basis but applied as a matter of course where constitutional rights were affected (see paras 69 & 94).

- (4) The High Court erred in viewing the recognition process of a trade union under the IRA in isolation from its registration process under the TUA and failed to appreciate the inextricable link between the two processes notwithstanding that each process was governed by a different legislation. The registration of a trade union was antecedent to an application for its recognition and the two processes were inextricably linked. The consultation process under s 12(2) of the TUA was not a mere mechanical or administrative process but a mandatory investigative procedure. The High Court had overlooked the spirit and objects of the IRA and the TUA. Both were social legislation aimed at creating industrial harmony. In exercising their powers, the first and second respondents had to act in accordance with the objects of the two legislations as intended by Parliament. It was mandatory on the part of the first respondent to have considered the wider interests of all KTMB locomotive drivers as to whether or not they would be better represented by the appellant or by R4. The decision to accord recognition had far-reaching implications since it was the giving of recognition under s 9 of the IRA that rendered a trade union's registration under s 12 of the TUA effective (see paras 48, 75–76 & 81–80). A
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- (5) Both the registration and the recognition processes under the TUA and the IRA, respectively, undeniably affected the interests of workmen in the same industry. Hence, the need to accord the right to be heard to the existing union should apply equally to both the registration and recognition processes. It could not logically apply to one and not the other as it could result in a procedural vacuum inconsistent with the legislative intent of the two said Acts and could lead to consequences unintended by the Legislature (see para 51). E
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[Bahasa Malaysia summary]

Sejak 1961, perayu merupakan satu kesatuan pekerja dalam beberapa fungsi pekerjaan berbeza yang berkerja di Keretapi Tanah Melayu Bhd (KTMB). Melalui satu permohonan semakan kehakiman, perayu memohon untuk, antara yang lain, membatalkan keputusan responden pertama (R1) untuk memberi pengiktirafan kepada responden keempat (R4) untuk mewakili pemandu tren tidak eksekutif dalam KTMB yang merupakan ahli perayu. Keputusan R1 untuk memberi pengiktirafan dibuat berdasarkan kuasanya dibawah s 9(5) Akta Perhubungan Perusahaan 1967 ('APP') selepas satu undian rahsia dijalankan di bawah APP menunjukkan bahawa 84.48% pemandu tren di KTMB telah menjadi ahli R4. Selain daripada perintah centorari, perayu juga memohon untuk mengisutiharkan keputusan R1 sebagai tidak sah kerana melanggar prinsip keadilan asasi sepertimana ditetapkan dibawah perkara 5 dan 8 Perlembagaan Persekutuan. Aduan perayu adalah memandangkan perayu telah berdekan mewakili semua pekerja bukan eksekutif KRMB, termasuklah pemandu tren, keadilan asasi dan doktrin G
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- A *legitimate expectation* memerlukan bahawa perayu haruslah dirujuk atau didengar sebelum pengiktirafan dibuat kepada R4 kerana perayu akan kehilangan sejumlah besar ahlinya kepada R4. Mahkamah Tinggi mengetepikan permohonan semakan kehakiman tersebut, antaranya, atas alasan bahawa s 9 APP, dibawah mana pengiktirafan telah diberikan, tiada memerlukan perayu dirujuk atau didengar. Mahkamah berpandangan bahawa hak kesatuan pekerja untuk didengar hanya terpakai apabila satu kesatuan pekerja baru, memohon untuk mewakili kumpulan pekerja yang sama yang satu kesatuan pekerja mewakili, cuba untuk mendaftar dibawah s 12(2) Akta Kesatuan Sekerja 1959 ('AKS'). Mahkamah memutuskan bahawa sejak s 9 APP tidak menyatakan bahawa satu kesatuan pekerja yang telah wujud perlu dirujuk, perayu tidak boleh menuntut bahawa ianya mempunyai *legitimate expectation* untuk dirujuk atau didengar sebelum pengiktirafan diberikan kepada R4. Dalam rayuan ini terhadap keputusan Mahkamah Tinggi, selain daripada mengemukakan semula hujahan mereka berkaitan dengan prinsip keadilan asasi dan doktrin *legitimate expectation*, perayu menghujahkan bahawa terkhilaf dalam membaca s 9 APP secara berasingan. Perayu menghujahkan bahawa peruntukan berkaitan dengan pengiktirafan satu kesatuan pekerja dibawah APP dan pendaftarannya dibawah AKS tidak boleh dipisahkan dan harus dibaca bersama memandangkan kedua-dua proses memerlukan pihak berkuasa berkenaan dibawah APP dan AKS berpuas hati, berdasarkan keterangan dan rujukan dengan pihak industri, bahawa ianya adalah perlu agar satu lagi kesatuan pekerja untuk mewakili kumpulan pekerja yang sama yang sudahpun diwakili dalam satu kesatuan pekerja yang sudah wujud.

F **Diputuskan**, sebulat suara membenarkan rayuan, mengetepikan keputusan Mahkamah Tinggi dan menolak keputusan yang dicabar:

- G (1) Keputusan responden pertama dan ketiga yang dicabar yang memberikan pengiktirafan kepada R4 adalah salah disisi undang-undang kerana pelanggaran prinsip yang telah diputuskan/peraturan keadilan asasi dan undang-undang pentadbiran yang dijamin oleh Perlembagaan Persekutuan (lihat perenggan 93).
- H (2) Mahkamah Tinggi terkhilaf dalam memutuskan bahawa memandangkan responden ketiga telah mematuhi s 12 AKS berkaitan dengan permohonan R4 untuk didaftarkan sebagai kesatuan pekerja, tiada keperluan dibawah s 9 APP untuk perayu dirujuk sebelum pengiktirafan diberikan kepada R4. Ini merupakan satu kekhilafan yang tidak konsisten dengan prinsip keadilan asasi yang memerlukan satu hak untuk didengar diberikan kepada perayu sebagai kesatuan tunggal atau payung yang diberikan hak untuk mewakili pekerja tidak eksekutif KTMB berkaitan dengan rundingan perkhidmatan dengan KTMB. Pihak yang berkebarangkalian akan mengalami kesan negatif oleh badan yang menjalankan kuasa statutori atau administratif adalah berhak untuk
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- didengar sebelum keputusan tersebut dibuat (lihat perenggan 53 & 93). A
- (3) Responden pertama dan ketiga bertindak bertentangan dengan *legitimate expectation* perayu untuk dirujuk dan diberi peluang untuk membuat representasi dan/atau untuk mengambil bahagian dalam proses pengiktirafan R4 sebelum apa-apa keputusan dibuat yang akhirnya akan memberi kesan kepada hak pekerja yang diwakili oleh perayu. Doktrin *legitimate expectation* merupakan satu ciptaan *common law* dan wujud didalam perlembagaan persekutuan. Ianya tidak bergantung kepada apa-apa asas legislatif tetapi terpakai apabila hak perlembagaan terkesan (lihat perenggan 69 & 94). B C
- (4) Mahkamah Tinggi terkhilaf apabila memandang proses pengiktirafan kesatuan pekerja dibawah APP secara berasingan dengan proses pendaftarannya dibawah AKS dan gagal untuk mengamati hubungan diantara dua proses tersebut walaupun ianya ditadbir oleh perundangan berbeza. Pendaftaran kesatuan pekerja mendahulu kepada satu permohonan untuk pengiktirafannya dan dua proses tersebut berkait rapat. Proses rujukan dibawah s 12(2) AKS bukanlah satu proses mekanikal atau administratif tetapi satu prosedur siasatan wajib. Mahkamah Tinggi telah terlepas pandang matlamat dan asas APP dan AKS. Kedua-dua merupakan perundangan sosial yang bertujuan untuk mewujudkan keharmonian di dalam industri. Dalam menggunakan kuasanya, responden pertama dan kedua perlu bertindak berdasarkan dengan matlamat kedua-dua perundangan seperti niat parlimen. Ianya adalah wajib bagi pihak responden pertama untuk menimbangkan kepentingan lebih luas pemandu kereta api KTMB sama ada mereka akan lebih baik diwakili oleh perayu atau R4. Keputusan untuk memberikan pengiktirafan mempunyai kesan yang mendalam kerana ianya memberikan pengiktirafan dibawah s 9 APP yang menyebabkan satu pendaftaran kesatuan pekerja dibawah s 12 AKS berkuatkausa (lihat perenggan 48, 75–76 & 80–81). D E F G
- (5) Kedua-dua proses pendaftaran dan pengiktirafan dibawah AKS dan APP, tidak boleh dinafikan memberi kesan kepada kepentingan pekerja dalam industri yang sama. Oleh itu, keperluan untuk memberikan hak untuk didengar kepada kesatuan pekerja yang telah wujud sepatutnya terpakai secara sama rata kepada proses pendaftaran dan pengiktirafan. Ianya tidak masuk akal untuk hanya menggunakan satu dan bukannya yang satu lagi kerana ianya akan mewujudkan vakum prosedur yang tidak konsisten dengan niat perundangan kedua-dua akta tersebut yang boleh menyebabkan kesan yang tidak diingini oleh badan perundangan (lihat perenggan 51).] H I

A Cases referred to

Association of Bank Officers, Peninsular Malaysia v Ketua Pengarah Kesatuan Sekerja, Malaysia & Anor [2004] 7 MLJ 109, HC (refd)

Attorney-General of Hong Kong v Ng Yuen Shiu [1983] 2 AC 629, PC (refd)

Cooper v Wandsworth Board of Works [1861–73] All ER Rep Ext 1554 (refd)

B *Darahman bin Ibrahim & Ors v Majlis Mesyuarat Kerajaan Negeri Perlis & Ors* [2008] 4 MLJ 309, CA (refd)

Federal Auto Cars Sdn Bhd v Ketua Pengarah Jabatan Kastam Diraja Malaysia [2019] MLJU 932; [2019] 1 LNS 1277, HC (refd)

C *Hillingdon London Borough Council v Commission for Racial Equality* [1982] AC 779, HL (refd)

Hotel Sentral (JB) Sdn Bhd v Pengarah Tanah dan Galian Negeri Johor, Malaysia & Ors [2017] 5 MLJ 116, CA (refd)

D *Kesatuan Pegawai-Pegawai Bumiputra-Commerce Bank Bhd (Kepak Bumi-Commerce) v Association of Bank Officers, Peninsular Malaysia* [2007] 1 MLJ 37, CA (refd)

Kesatuan Pekerja-Pekerja Bukan Eksekutif Maybank Bhd v Kesatuan Kebangsaan Pekerja-Pekerja Bank & Anor [2018] 2 MLJ 590; [2017] 4 CLJ 265, FC (refd)

E *Marulee (M) Sdn Bhd v Menteri Sumber Manusia & Anor* [2007] 6 MLJ 222, CA (refd)

Minister Of Labour, Malaysia v Chan Meng Yuen and another appeal [1992] 2 MLJ 337, SC (refd)

Minister of Labour, Malaysia v Lie Seng Fatt [1990] 2 MLJ 9, SC (refd)

F *National Union of Bank Employees v Director General of Trade Unions & Anor* [2015] 1 MLJ 881; [2015] 10 CLJ 62, CA (refd)

North East Plantations Sdn Bhd lwn Pentadbir Tanah Daerah Dungun dan satu lagi [2018] supp MLJ 293; [2011] 4 CLJ 729, FC (refd)

G *Ong Ah Chuan v Public Prosecutor; Koh Chai Cheng v Public Prosecutor* [1981] 1 MLJ 64, FC (refd)

Pendaftar Pertubuhan v Datuk Justin Jinggut [2013] 3 MLJ 16, FC (refd)

Persatuan Pegawai-Pegawai Bank Semenanjung Malaysia v Minister of Labour, Malaysia & Ors [1989] 1 MLJ 30; [1989] 1 CLJ Rep 124, SC (refd)

H *Robin Tan Pang Heng @ Muhammad Rizal bin Abdullah (suing as public officer at Penang Turf Club) v Ketua Pengarah Kesatuan Sekerja Malaysia & Anor* [2011] 2 MLJ 457; [2010] 9 CLJ 505, FC (refd)

S Kulasingam & Anor v Commissioner of Lands, Federal Territory & Ors [1982] 1 MLJ 204, FC (distd)

I *Salemi v MacKellar (No 2)* (1977) 137 CLR 396, HC (refd)

Syarikat Kenderaan Melayu Kelantan Bhd v Transport Workers' Union [1995] 2 MLJ 317; [1995] 2 CLJ 748, CA (refd)

Yusof bin Sudin v Suruhanjaya Perkhidmatan Polis & Anor [2011] 5 MLJ 465, FC (folld)

Legislation referred to

Federal Constitution arts 5, 8, 13
Industrial Relations Regulations 2009 r 7(1)
Industrial Relations Act 1967 s 9, 9(1), (5)
Trade Unions Act 1959 ss 12, 12(2), 15, 15(2)

*Ambiga Sreenevasan (Sarah Ho Yixin with her) (Sreenevasan) for the appellant.
Mohd Fitri bin Sadarudin (Attorney General's Chambers) for the first, second and
third respondents.*

*Vijaya Kumar Raj (P Devi al/p Sangaran with him) (P Kuppusamy & Co) for the
fourth respondent.*

Gunalan Muniandy JCA:**INTRODUCTION**

[1] This is an appeal by the appellant against the decision of the learned High Court judge ('LHCJ') given on 25 July 2018 which dismissed the appellant's application for judicial review ('JR') for an order of certiorari to quash the decision of the first respondent and other reliefs.

BACKGROUND FACTS

[2] The appellant is a trade union of employees in Keretapi Tanah Melayu Bhd ('KTMB') established and registered under the Trade Unions Act 1959 ('the TUA 1959') on 30 January 1961.

[3] The first respondent is the Minister of Human Resources who is empowered under s 9(5) of the Industrial Relations Act 1967 ('the IRA 1967') to decide whether or not a claim for recognition of a trade union ought to be accorded.

[4] The second respondent is the Director General of the Industrial Relations Department, who is empowered by the IRA 1967 to have general direction, control and supervision of all matters relating to industrial relations.

[5] The third respondent is the Director General of Trade Unions, who is empowered by the TUA 1959 to have general direction, control and supervision of all matters relating to trade unions in Malaysia.

[6] The fourth respondent is a national trade union registered by the third respondent under the TUA 1959 on 18 September 2015. The fourth respondent represents all non-executive train drivers in the country.

- A** [7] Vide a letter dated 18 October 2016, the fourth respondent sought recognition from KTMB in respect of representing the train drivers only. KTMB did not respond to the fourth respondent's application for recognition. Therefore, vide a letter dated 11 November 2016, the fourth respondent lodged a complaint with the second respondent that KTMB did not respond to its application for recognition.
- B**

[8] On 8 December 2016, the claim was referred by the fourth respondent to the second respondent.

- C** [9] On 15 May 2017 and 16 May 2017, a secret ballot was carried out and the results of the secret ballot revealed that 85.58% of the train drivers in KTMB had become members of the fourth respondent.

- D** [10] Vide a letter dated 12 July 2017, the first respondent had accorded recognition to the fourth respondent with effect from 18 October 2016.

[11] The appellant filed an application for JR and sought the following reliefs:

- E** (1) an order of certiorari to quash the first respondent's decision dated 5 July 2017 that the fourth respondent be accorded recognition ('the impugned decision') to represent all train drivers except those employed in a management, executive, confidential or security capacity;
- F** (2) a declaration that the impugned decision made by the first to third respondents are a breach of the Federal Constitution and principles of natural justice and as a result, unconstitutional and void;
- G** (3) an order of prohibition to prevent the first to third respondents from making any subsequent decisions to register and/or to recognise a trade union which has a membership that is overlapping/identical with the scope of the appellant's existing membership;
- H** (4) in the alternative to (3), an order of prohibition to prevent the first to third respondents or with one or more of them from making any subsequent decisions to register and/or to recognise a trade union which has a membership that is overlapping/identical with the scope of the appellant's existing membership without furnishing the appellant with the reasons and according the appellant's a right to be heard; and
- I** (5) costs.

[12] On 25 July 2018, the learned High Court judge ('LHCJ') dismissed the appellant's application for JR.

FINDINGS OF THE HIGH COURT

A

[13] The LHCJ held that there is nothing in s 9 of the IRA 1967 that requires the third respondent to consult another union before according recognition, unlike the case of the registration of trade unions. Unlike s 12 of the TUA 1959, s 9 of the IRA 1967 makes no reference to any other trade union. This is further fortified by reference to r 7(1) of the Industrial Relations Regulations 2009. As such, there is no legal requirement for the first to the third respondents to consult the appellant before according recognition to the fourth respondent.

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[14] As there is no legal requirement for the first to the third respondents to consult the appellant before according recognition to the fourth respondent, then the issue of legitimate expectation does not arise. The first to the third respondents have not made any commitment to the appellant to enable the appellant to invoke the doctrine of legitimate expectation. The acts of the first to the third respondents pursuant to s 9 of the IRA 1967 are an exercise of statutory power, which cannot be overridden by the doctrine of legitimate expectation.

D

E

[15] Section 11 of the IRA 1967 allows for another union to apply for recognition after three years from the registration of first union. This is supported by s 15(2) of the TUA 1959, which provides that where there are two or more unions in an establishment, the third respondent may cancel the registration of a union that has lesser members. The policy consideration behind such provisions is to allow the workers to have the freedom of choice as to which Union can better represent them.

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THE APPELLANT'S SUBMISSION

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[16] The appellant submitted that the impugned decision is in breach of the principles of natural justice. The appellant was not consulted nor given a right to be heard before the impugned decision was made in breach of the principles of natural justice embedded in arts 5 and 8 of the Federal Constitution.

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[17] The recognition process under the IRA 1967 cannot be read in isolation from the provisions relating to registration under TUA 1959 as the registration of a trade union is the antecedent to the recognition of the same. The two processes are inextricably linked. The consultation process under s 12(2) of the TUA 1959 is not a mere administrative process per se but an investigative procedure that cannot be dispensed with. Therefore, the LHCJ erred to hold that there is no legal requirement for the first to third respondents to consult the appellant before according recognition to the fourth respondent and that

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A the right to be heard and prior consultation is limited only to matters relating to the registration of a trade union.

[18] The appellant hence submitted that the LHCJ's decision was erroneous and flawed on the following grounds:

- B**
- (a) the LHCJ erred in law and/or in fact in failing to hold that impugned decision is irrational as it is unreasonable and does not take into account that the first respondent, in arriving at the impugned decision, failed to state for a fact that he had considered the interest of KTMB locomotive train drivers when he decided to accord recognition to the fourth respondent;
- C**
- (b) the LHCJ also failed to take into consideration that the first to third respondents had failed to disclose any material or evidence of the factors and processes employed by them before arriving at the impugned decision;
- D**
- (c) the LHCJ erred in law and/or in fact in failing to consider that the secret ballot cannot be conclusive evidence based on the peculiarities of this case;
- E**
- (d) the LHCJ failed to take into consideration that there is a real and subsisting confusion and likelihood of disharmony in having two overlapping collective agreements for KTMB locomotive drivers; and
- F**
- (e) the LHCJ failed to take into consideration the objects of the appellant's establishment which goes back in history to its founding in 1961 whereby the very objective of the appellant is to unite the fragments of unions representing workmen of various job positions in KTMB. The impugned decision would result in a disruption in the appellant's functions and objects as a trade union as part of its members would be represented by the fourth respondent.
- G**

THE RESPONDENTS' SUBMISSION

H **[19]** The respondents submitted that there is nothing in s 9 of the IRA 1967 that requires the third respondent to consult the appellant before according recognition of the fourth respondent. Therefore, the decision discloses no error of fact and/or law that warrants an intervention of this honourable court.

I **[20]** The fourth respondent submitted that since the appellant was not involved in the recognition process, there was no legal requirement for consultation with the appellant before according recognition to the fourth respondent. As such, the issue of the legitimate expectation of the appellant does not arise.

[21] The fourth respondent also submitted that when there is no statutory requirement for the first respondent to give reasons for his decision, the court cannot compel the first respondent to give reasons for his decision.

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[22] There was no evidence to prove that the respondents had acted irrationally. The recognition was accorded pursuant to the statutory requirements and provisions under the IRA 1967.

B

OUR DECISION

[23] In contending that the LHCJ had erred in law and/or in fact when she dismissed the appellant's JR application, counsel for the appellant drew our attention to the core issue in this appeal which arises from the recognition and registration of TDU by the first to third respondents, namely, that the decisions to register and recognise TDU were made without hearing or consulting the appellant, which is an existing union representing the same class of workmen that TDU seeks to represent. The appellant sought, inter alia, an order of certiorari to quash the impugned decision.

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[24] As correctly understood by the LHCJ, the basic contention of the appellant on this core issue was that natural justice required the applicant to be granted the right to be heard and be consulted before its scope of representation over the locomotive drivers stood to be extinguished by reliance on several cases, including the decision of the Federal Court in *Kesatuan Pekerja-Pekerja Bukan Eksekutif Maybank Bhd v Kesatuan Kebangsaan Pekerja-Pekerja Bank & Anor* [2018] 2 MLJ 590; [2017] 4 CLJ 265, where the question before the Federal Court was as follows:

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In considering an application for registration of a trade union in respect of a particular establishment, is there a statutory requirement on the part of the Director General under s 12 of the Trade Unions Act 1959 to consult with any existing trade union representing workman in that establishment, trade, occupation or industry.

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[25] This is how the Federal Court answered the above question:

[90] The circumstances as borne out from the facts of the case as disclosed from the affidavits in support and in opposition of the application, demonstrate the need for further deliberation and consideration by the DG in arriving at his decision. There is already an existing trade union representing and catering for the same particular industry and it ought to have dawned upon the DG that multiplicity of trade unions in respect of the same occupation would not be in the best interest of industrial harmony. In our view, the satisfaction of the DG as provided under s 12 of the TUA 1959 in deciding whether to register another trade union in the same industry cannot be achieved without there being a prior consultation with the other players in the industry. NUBE which is an existing trade union representing workmen in the banking industry was not consulted. In the circumstances of the case, failure to do so is fatal.

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I

A [91] For the reasons above-stated, in the totality of the matter and the circumstances of the case under which the discretion was exercised by the DG in registering the appellant as a trade union, we find the provisions of s 12 of the TUA 1959 had not been complied with.

B [92] We answer the question posed in the affirmative.

[26] For ease of reference, we reproduce s 12 of the TUA 1959, which governs the registration of a trade union. It read as follows:

12 Registration

C (1) The Director General may, upon receiving any application under section 10, and subject to this section, register the trade union in the prescribed manner.

D (2) The Director General may refuse to register a trade union in respect of a particular establishment, trade, occupation or industry if he is satisfied that there is in existence a trade union representing the workmen in that particular establishment trade, occupation or industry and it is not in the interest of the workmen concerned that there be another trade union in respect thereof ...

E [27] Importantly, as noted by the LHCJ, the Federal Court in the above case went on to conclude that in order to be 'satisfied that there is in existence a trade union representing the workmen in that particular establishment trade. and it is not in the interest of the workmen concerned that there be another trade union in respect thereof within sub-s 12(2) of the TUA 1959, the DGTU must have consulted the other players in the industry, such as the existing trade union representing the workmen in the banking industry.

G [28] In regard to a claim for recognition by a trade union, which is the subject of dispute in the present JR application, the governing law is s 9 of the Industrial Relations Act 1967 ('the IRA') of which we propose to reproduce only the provisions relevant to the dispute as follows:

9 Claim for recognition shall be deemed to have been withdrawn.

H (1) No trade union of workmen the majority of whose membership consists of workmen who are not employed in any of the following capacities that is to say —

- I (a) managerial capacity;
(b) executive capacity;
(c) confidential capacity; or
(d) security capacity,

may seek recognition or serve an invitation under section 13 in respect of workmen employed in any of the above mentioned capacities.

...

- (4A) Upon receipt of a report under subsection (4), the Director General may take such steps or make such enquires to ascertain — **A**
- (a) the competence of the trade union of workmen concerned to represent any workmen or class of workmen in respect of whom the recognition is sought to be accorded; and **B**
 - (b) by way of secret ballot, the percentage of the workmen or class of workmen, in respect of whom recognition is being sought, who are members of the trade union of workmen making the claim. **B**
- (4B) For the purposes of carrying out his functions under subsection (1B) or (4A) the Director General — **C**
- (a) shall have the power to require the trade union of workmen, the employer, or the trade union of employers concerned to furnish such information as he may consider necessary or relevant within the period specified in the requirement; **D**
 - (b) may refer to the Director General of Trade Unions for him to ascertain the competence of the trade union of workmen concerned to represent any workmen or class of workmen in respect of whom recognition is sought to be accorded, and the performance of duties and functions by the Director General of Trade Unions under this paragraph shall be deemed to be a performance of his duties and functions under the written law relating to the registration of trade unions; and (4C) Upon ascertaining the matter under subsection (4A), the Director General shall notify the Minister. **E**
- (5) Upon receipt of a notification under subsection (4C) the Minister shall give his decision thereon; where the Minister decides that recognition is to be accorded, such recognition shall be deemed to be accorded by the employer or trade union of employers concerned, as the case may be, as from such date as the Minister may specify. **F**
- (6) A decision of the Minister under subsection (1D) or (5) shall be final and shall not be questioned in any court. **G**
- [29] Importantly too, the LHCJ's considered opinion that led to her eventually dismissing the JR application was that there is nothing in s 9 of the IRA 1967 that requires the DGTU to consult another union before according recognition, unlike the case of the registration of trade unions. The three parties referred to and are involved in a recognition exercise under s 9 are the union seeking recognition, the employer and the union of employers. **H**
- [30] In her view, this section, unlike s 12 of the TUA 1959, makes no reference to any other trade union which is further fortified by reference to r 7(1) of the Industrial Relations Regulations 2009. **I**
- [31] According to the appellant, this is an erroneous view by reference, amongst others, to the recent Federal Court decision of *Kesatuan*

- A *Pekerja-Pekerja Bukan Eksekutif Maybank Bhd v Kesatuan Kebangsaan Pekerja-Pekerja Bank & Anor* ('NUBE's case') which is a case on point. Hence, that the impugned decision was procedurally flawed and devoid of merits that would attract the remedy of a certiorari. It was contended that the LHCJ had erred in holding that the principle of *audi alteram partem* may be excluded by
- B legislation based on *S Kulasingam & Anor v Commissioner of Lands, Federal Territory & Ors* [1982] 1 MLJ 204, where the Federal Court held as follows:
- (1) Whether there is a right to a pre-acquisition hearing
- C *Considering the provisions and scheme of the Act, the short answer to this point is that there is nothing in the legislation imposing any such obligation in marked contrast to the specific provisions for an inquiry and hearing in respect of the quantum of compensation payable.* This very point was taken before the Privy Council in *Mukta Ben & Anor v Suva City Council* [1980] 1 WLR 767, 769 where it was contended inter alia that the requirements of natural justice were not observed but the Judicial Committee
- D held (at p 779) *that acquisition could not be impugned on any ground of natural justice, since the legislation imposed no obligation to inform the appellants in that case that an application for compulsory acquisition was contemplated or to invite them to make representations to the Governor and that he had in no way acted unfairly in regard to them.* The rules of natural justice vary in content and ambit according to the
- E circumstances and context (*Pahang South Union Omnibus Co. Bhd. v Minister of Labour and Manpower & Anor* [1981] 2 MLJ 199; [1981] CLJ Rep 74; *Merdeka University Bhd. v Government of Malaysia* [1981] 2 MLJ 356; [1981] CLJ Rep 191), and the English Court of Appeal in *Regina v Raymond* [1981] 3 WLR 660, 670; [1981] 2 All ER 246 (at p 670) approved the proposition that the courts should
- F *not fly in the face of a clearly evinced Parliamentary intention to exclude the operation of the audi alteram partem rule.*
- ...
- G *The legislature can by clear words exclude the principles of natural justice in the absence of specific constitutional guarantees.* In an appeal from New Zealand the Privy Council approved of the idea that natural justice could be effectively excluded by a legislative code in *Furnell v Whangarei High Schools Board* [1973] AC 660, 679 which concerned the disciplinary code for New Zealand government teachers. Charges against a school teacher were investigated by a sub-committee which
- H reported to the high school's board. Neither the sub-committee nor the board gave the schoolteacher an opportunity of making representations but he was suspended from teaching pending consideration and decision by the teachers' disciplinary board. The majority opinion held that the legislative code was not unfair and refused a writ of prohibition, stating (at page 679) that it is not 'the function of the court to re-draft the code' and referring with approval to the decision of the High
- I Court of Australia in *Brettingham-Moore v Municipality of St Leonards* (1969) 121 CLR 509, 524 which held in effect (at page 524) *that it is not for the court to amend the statute by engrafting upon it some other provision which it might think more consonant with a complete opportunity for an aggrieved person to present his views and to support them by evidentiary material.* (Emphasis added.)

[32] At the outset, the appellant brought to our attention that the rules of natural justice which originate from the common law have been widely recognised by our apex courts as being embedded in arts 5 and 8 of the Federal Constitution whether in the wider sense or the formulation of 'procedural fairness'.

[33] A leading authority on this vital point is *Ong Ah Chuan v Public Prosecutor; Koh Chai Cheng v Public Prosecutor* [1981] 1 MLJ 64 at 71B-C where it was remarked:

... in a constitution founded on the Westminster model and particularly in that part of it that purports to assure to all individual citizens the continued enjoyment of fundamental liberties or rights, references to 'law' in such contexts as 'in accordance with law', 'equality before the law', 'protection of the law' and the like, in their Lordships' view, refer to a system of law which incorporates those fundamental rules of natural justice that had formed part and parcel of the common law of England that was in operation in Singapore at the commencement of the Constitution.

[34] It would be instructive, to resolve the issue at hand that guidance be sought from the leading case of *Yusof bin Sudin v Suruhanjaya Perkhidmatan Polis & Anor* [2011] 5 MLJ 465, where Richard Malanjum CJ (Sabah and Sarawak) in no uncertain terms held:

[3] I would add that the term 'law' in a given legislation including a written constitution has been understood to encompass both substantive law and procedure including the rules of natural justice.

...

[5] Accordingly, observation of procedural fairness that is closely connected to a fundamental right, for instance, the right to life (art 5(1) as enshrined in our Federal Constitution is of paramount importance. Indeed right to life has been interpreted to include the right to livelihood. And it has been said that 'income is the foundation of many fundamental rights and when work is the sole source of income, the right to work becomes as much fundamental' (see: *Delhi Transport Corporation v DTC Mazdoor Congress & Ors* [1991] Supp 1 SCC 600) and referred to by our Court of Appeal in *Tan Tek Seng & Tan Chee Meng v Suruhanjaya Perkhidmatan Pendidikan & Anor*. [1996] 2 CLJ 771. Hence, failure to observe such procedural fairness would tantamount to a breach or aiding a breach of such fundamental right.

[6] It is therefore critical for a public decision maker to know that it is under a duty to act fairly including the observation of the rules of natural justice which comprised of two maxims namely, no man shall be a judge in his own cause and that no man shall be condemned unheard (see *Re HK (an infant)* [1967] 2 QB 617).

[35] We are in agreement with the appellant that, based on the established authorities that have been referred to us, it is now settled principle that a person whose rights or interests would be affected or aggrieved by the decision of a public authority must be accorded the right to be heard before the decision is

A made. In accordance with established principles of natural justice, he cannot in the normal course be denied that right.

B [36] We now propose to examine the reasons advanced by the appellant as to why the decision to grant recognition to the fourth respondent (“TDU”) would seriously affect the position and statutory role of the appellant. Notably, the appellant is a trade union which has for decades been acknowledged by the employer, KTMB to represent all non-executive employees in KTMB — including that of locomotive train drivers.

C [37] Considering the fact that the appellant’s scope of representation over a large category of its existing members would be extinguished, the crucial question before us would be simply whether the appellant was entitled to be granted the right of hearing preceding the decision.

D [38] It is the appellants’ case that the impugned decision is prejudicial to their interests and those of the employees of the KTMB that they represent because:

E (a) in granting recognition to TDU, it has the effect of reducing the scope of representation of the appellant — as there can only be one trade union representing the same class of workmen in an industry — either the appellant or TDU; and

F (b) the impugned decision is in essence the first respondent’s choice, as admitted, that it is TDU that should represent all locomotive train drivers in KTMB and not the appellant.

G [39] Hence, it was contended that justice requires that the appellant be granted a right to be heard and to be consulted before its scope of representation as aforesaid is extinguished permanently.

H [40] Primarily, the question for our determination would be whether the LHCJ had made an erroneous finding that the fourth respondent had not breached s 12 of the TUA 1959 for the following reasons (as summarised by the appellant):

I (a) that with regard to the process of registration under s 12 of the TUA 1959, the DGTU had complied with this provision when the appellant had been purportedly invited to attend a meeting to discuss the registration application submitted by TDU but the appellant failed to attend the meeting;

(b) that there was no legal requirement for the first to third respondents to consult the appellant before according recognition to TDU; and

(c) that the right to be heard and prior consultation apply only to matters relating to the registration of a trade union but not the recognition process.

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[41] In opposing the appellant's contention that s 12 of the TUA 1959 had in fact not been complied with, the DGTU alleged that prior to the registration of TDU, the appellant was in fact invited for a meeting to discuss the viability of the registration of TDU but the appellant did not attend the meeting and thus, was not consulted on the status of TDU.

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[42] We are satisfied that the appellant had correctly pointed out to us that the LHCJ had mistakenly concluded that the appellant had been invited to a meeting with the DGTU on the proposed registration application submitted by the TDU but the former failed to attend the meeting. This conclusion was shown to us to be factually incorrect based on the exchange of correspondences between the two parties.

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[43] Evidence was produced through the appellant's secretary that based on a thorough perusal of the appellant's correspondences over a five year period the purported invitation letters by the DGTU were completely untraceable. Notably, none of the purported letters exhibited by the DGTU contained an acknowledgement of receipt by the appellant nor any proof that the letters were sent out to the appellant.

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[44] In our view, the appellant was right to contend that, assuming that the purported letters had in fact been sent to them, the requirement for the DGTU to consult them cannot credibly be limited only to sending out letters considering that the DGTU had extensive expertise and experience in the control and supervision of all trade unions nationwide. Bearing in mind the far-reaching implications of the proposed decision, it was certainly incumbent on the DGTU to go the entire mile to obtain feedback from the appellant whose office was freely accessible to all and sundry.

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[45] On the facts brought to our attention, we would conclude on the issue at hand that the LHCJ had in failing to properly evaluate the evidence before her, wrongly held that in this instance the DGTU had complied with the requirements of s 12 of the TUA 1959 by giving to the appellant a right to be heard before making the impugned decision when in fact the appellant had clearly not been consulted on the matter of recognition granted to the TDU. Hence, on the evidence, there was thus, a clear breach of the principles of natural justice by the DGTU in the instant decision making process in not consulting the appellant notwithstanding that there were likely implications to the interests of the appellant and its huge body of members.

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- A [46] An important fact highlighted to us was that the decision to register the TDU was not even communicated to the appellant who inadvertently discovered the same themselves from other sources.
- B [47] As for the first respondent, on the facts before us he should have been well aware that the appellant was in fact not heard before he arrived at the impugned decision. There was no indication of any steps having been taken by him to ensure that the DGTU had consulted the appellant before making his decision. We agree with the appellant that the first respondent had, in his decision-making process acted unreasonably or in a manner inconsistent with
- C any other person or body of persons entrusted with policies of industrial relations and the welfare of workmen in similar circumstances (see *Association of Bank Officers, Peninsular Malaysia v Ketua Pengarah Kesatuan Sekerja, Malaysia & Anor* [2004] 7 MLJ 109).
- D [48] We also agree with the appellant that the LHCJ was wrong in law in failing to bear in mind that the recognition process under the IRA cannot be read in isolation with the specific provisions relating to registration under TUA 1959 as the registration of a trade union is the antecedent to the
- E recognition of the same as the two processes are indisputably inextricably linked. The consultation process under s 12(2) of the TUA 1959 must not be viewed as a mere mechanical or administrative process per se but as an investigative procedure that is mandatory.
- F [49] We have duly noted the Court of Appeal judgment in *National Union of Bank Employees v Director General of Trade Unions & Anor* [2015] 1 MLJ 881; [2015] 10 CLJ 62 (CA) that held that the registration of a trade union is a precursor to recognition:
- G ... (ii) Objections under TUA 1959 are crucial for the appellant. IRA is inter alia related to the employer who must be satisfied of the employees' support of the new union for purpose of recognition. If there is no support, registration may be cancelled under s 15 of TUA 1959.
- (iii) *TUA 1959 and IRA must not be read in isolation.*
- H ... Trade Union Act 1959
- I *The Act must be read with the Trade Union Act 1959. TUA 1959 covers the affairs of trade unions of both employers and employees. Trade Unions are associations formed within any particular trade or occupation or industry. The object of trade union, whether in-house or national is to regulate the relationship between employer and employees and in particular, to protect the right of its members. They negotiate collective bargaining to conclude collective agreement between employers and employees. They represent employees in Industrial Court in their trade dispute with their employers. As the Act deals with principle of Trade Unionism, Recognition, Collective Bargaining and resolving trade disputes, the TUA 1959 must be considered in all material aspects when dealing with the related issues. (Emphasis added.)*

[50] Our attention was also drawn to another leading case, *Robin Tan Pang Heng @ Muhammad Rizal bin Abdullah (suing as public officer at Penang Turf Club) v Ketua Pengarah Kesatuan Sekerja Malaysia & Anor* [2011] 2 MLJ 457; [2010] 9 CLJ 505, where the Federal Court had in no uncertain terms remarked that:

[11] ... it cannot be categorically asserted that there is no nexus between the Trade Unions Act 1958 (Act 262) and the Industrial Relations Act 1967 (Act 177). If the object of forming a trade union, inter alia, is to regulate relations between workmen and employers, then it cannot be accepted unreservedly that Act 262 is not applicable to an employer.

[14] ... The very claim for recognition has an antecedent process of the registration of a trade union. The current state of law governing the relationship of employer and workmen for the purposes of a trade union activity is therefore found in both Acts 177 and 262. There is a nexus between the two Acts.

[51] In our considered view, both the registration and the recognition processes under the TUA 1959 and the IRA 1967 respectively undeniably affect the interests of workmen in the same industry. Hence, the need to accord the right to be heard to the existing union which would apply equally to both processes. It cannot logically apply to one and not the other as it could result in a procedural vacuum inconsistent with the legislative intent of the above Acts. It could lead to consequences unintended by the Legislature.

[52] Based on submissions made to us, the stand taken by the first to third respondents was, in essence, that in law there was no express requirement mandating them to confer with the appellant before granting recognition to the fourth respondent under s 9 of the IRA 1967.

[53] Their position was that there was no provision in s 9 of the IRA 1967 requiring them to negotiate with the appellant before granting recognition to the appellant. As such, that principles of natural justice, particularly the right to be heard, were not applicable to the decision-making process for recognition in this case. This contention with which the LHCJ concurred, is, in our considered opinion, erroneous and misconceived as it disregards cardinal principles of natural justice wherein persons or parties affected by the decision of a person or body exercising statutory or administrative powers are entitled as of right to be heard before the decision is made. In the present instance, the appellant as the long established trade union representing all non-executive employees of the KTMB should logically and naturally be considered as a party likely to be aggrieved by the decision of the first respondent to grant recognition to the fourth respondent which is a splinter union intended to represent a class of railway employees.

[54] The respondents' position, in our view, also fails to appreciate the

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A proximate nexus between the process of registration under s 12 of the TUA 1959 and the provisions relating to recognition under s 9 of the IRA 1967. On this point, we were referred to the instructive view of the Court of Appeal in *Marulee (M) Sdn Bhd v Menteri Sumber Manusia & Anor* [2007] 6 MLJ 222, where it was held:

B [5] Upon receipt of an application under s 9(3)(c), or a report under s 9(4) of the Act, the DGIR is under a statutory duty to attempt to resolve the matter. In attempting to resolve the dispute the DGIR is authorized 'to take such steps or make such enquiries as he may consider necessary or expedient to resolve the matter' (s 9(4A)). In order to perform his functions under s 9(4A) the DGIR is empowered
C 'to require the trade union of workmen, the employer, or the trade union for A employers concerned, to furnish such information as he may consider necessary or relevant' (s 9(4B)(a)) and 'may refer to the Director General of Trade Unions for his decision any question on the competence of the trade union of workmen concerned to represent any workmen or class of workmen in respect of whom recognition is
D sought to be accorded' (s 9(4B)(b)). This provision also provides that the performance of duties and functions of the Director General of Trade Union (DGTU) under this paragraph shall be deemed to be a performance of his duties under the written law relating to the registration of trade unions. There is accordingly a direct nexus of the power entrusted to the DGTU under the Act and
E that conferred upon him by the Trade Unions Act.

[55] To conclude on the issue at hand, our considered view is that the LHCJ had wrongly concluded, without giving sufficient consideration to settled principles of natural justice, that there is no legal requirement for the third
F respondent to consult the appellant before according recognition to TDU on the premise that the right to be heard and prior consultation are limited only to matters relating to the registration of a trade union.

[56] We take cognisance of the fact that various provisions in the IRA 1967, including s 9, prescribe the general procedure for a trade union's claim for
G recognition by the employer. As pointed out to us by the appellant, this is a peculiar case where the appellant's rights would be adversely affected as admitted by the first respondent himself.

H [57] To our minds, the mere absence of a statutory right to be heard in contrast to an express exclusion, which is not the case here, would not tantamount to an applicant being denied the right to be heard where his rights are affected. A case squarely in point is *Cooper v Wandsworth Board of Works* [1861–73] All ER Rep Ext 1554 where the learned judge held with
I precision that:

I am of the same opinion. This is a case in which the board of works have pulled down a house and thrown the charge on the plaintiff, without any notice whatever, and they have given him no opportunity of being heard, and I am of opinion that they acted wrong, whether they acted judicially or ministerially. *I am of opinion that*

they acted judicially, and on the authority of a number of cases, though the statute has not directly provided for it, the common law will supply the deficiency and will not allow a person to be punished without being heard. If they acted judicially, they have acted contrary to the whole current of cases; and if they acted ministerially, they have acted unjustly, and exceeded their powers. (Emphasis added.)

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[58] Statutory powers conferred on administrative bodies or officials must in principle be exercised fairly if the exercise of the said powers be to the detriment of the persons affected by the decision made pursuant to those powers (see *Hillingdon London Borough Council v Commission for Racial Equality* [1982] AC 779).

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[59] We now turn to the next important aspect of the LHCJ's decision pertaining to the invocation of the doctrine of legitimate expectation wherein the right to be heard ought to have been afforded to the appellant under the present circumstances. On this issue, the appellant's contention was that the LHCJ had erred in law and/or in fact in holding that the issue of legitimate expectation does not arise given that there is no legal requirement for the first to third respondents to consult the appellant before according recognition to the fourth respondent.

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[60] The fourth respondent's position on this issue was that there was no statutory requirement for the respondents to consult the appellant and as such, the principle of legitimate expectation does not arise (see the case of *Federal Auto Cars Sdn Bhd v Ketua Pengarah Jabatan Kastam Diraja Malaysia* [2019] MLJU 932; [2019] 1 LNS 1277).

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[61] In other words, where the applicant's expectation is not recognised by law this doctrine would have no application. Reference was made to *Salemi v MacKellar (No 2)* (1977) 137 CLR 396 at p 404 where Barwick J observed:

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It is therefore necessary to examine the eloquent phrase 'legitimate expectation' derived as it is from the reasons for judgment of the *Master of the Rolls in Schmidt v Secretary of State for Home Affairs*. I am bound to say that I appreciate its literary quality better than I perceive its precise meaning and the perimeter of its application. But, no matter how far the phrase may have been intended to reach, as its centre is the concept of legality, that is to say, it is a lawful expectation which is in mind. I cannot attribute any other meaning in the language of a lawyer to the word 'legitimate' than a meaning which expresses the concept to entitlement or recognition by law. So understood, the expression probably adds little, if anything, to the concept of a right.

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[62] This was precisely what the LHCJ held in rejecting the appellant's contention that the first to third respondents had acted in violation of its legitimate expectation in failing to afford an opportunity to make

A representations to the first respondent and/or the second respondent in the decision-making process pertaining to the recognition of the fourth respondent.

B [63] In arriving at her decision, the LHCJ relied on the following authorities as summarised in the fourth respondent's submission:

C (a) *Darahman bin Ibrahim & Ors v Majlis Mesyuarat Kerajaan Negeri Perlis & Ors* [2008] 4 MLJ 309 (the Court of Appeal by relying on the case of *Attorney-General of Hong Kong v Ng Yuen Shiu* [1983] 2 AC 629 held that: legitimate expectations in this context are capable of including expectations which go beyond enforceable legal rights, provided they have some reasonable basis);

D (b) in *Hotel Sentral (JB) Sdn Bhd v Pengarah Tanah dan Galian Negeri Johor, Malaysia & Ors* [2017] 5 MLJ 116, the Court of Appeal held that; the general rule appears to be the doctrines of estoppel and legitimate expectation are not ordinarily available against the government nor is the government bound by any representation which may have been made expressly or by conduct which if needed to be acted upon would invoke a breach of statute; and

E (c) in *North East Plantations Sdn Bhd lwn Pentadbir Tanah Daerah Dungun dan satu lagi* [2018] supp MLJ 293; [2011] 4 CLJ 729 the Federal Court held that 'whether or not the doctrine of legitimate expectation applies depends on the facts of each case, it cannot and should not override the express statutory power vested in the State Authority.'

F [64] It can be summarised that the reasoning of the LHCJ based on the authorities that she had relied upon was that since the appellant was not involved in the recognition process, there was no legal requirement for consultation with the appellant before according recognition to TDU. As such, the issue of the legitimate expectation of the appellant does not arise.

H [65] As to the purported legitimate expectation of the appellant to be afforded a right to be heard in the recognition process, the question before us was whether the LHCJ had erred in law and/or in fact in holding that in the present case, the principle of *audi alteram partem* may be excluded by legislature when she failed to consider that there have been a spate of authorities where the highest courts have quashed decisions by the DGTU to register a trade union when there was already an existing trade union representing the same class of workmen in that particular trade, establishment, occupation or industry without giving the latter a right to be heard or to be consulted prior to the decision.

I [66] We observe that in all these cases referred to us by the appellant, a

similar contention as advanced by the DGTU in the present case was rejected wherein non-consultation of an affected party was, on the contrary, viewed as a serious jurisdictional error. Among the authorities referred to us are *National Union of Bank Employees v Director General of Trade Unions & Anor* [2015] 1 MLJ 881; [2015] 10 CLJ 62 (CA); and *Kesatuan Pekerja-Pekerja Bukan Eksekutif Maybank Bhd v Kesatuan Kebangsaan Pekerja-Pekerja Bank & Anor* [2018] 2 MLJ 590; [2017] 4 CLJ 265 (FC) ('NUBE's case').

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[67] We agree with the appellant that the case of *S Kulasingam & Anor* ought to be distinguished from the present case on the specific issues decided by the Federal Court in that case. It concerned whether a landowner is entitled to a right to be heard before the power of compulsory acquisition of land is exercised by the relevant authority and hinged on the interpretation of art 13 of the Federal Constitution relating to the fundamental right to property. It was the Federal Court's decision that a right to be heard prior to such power being exercised would stultify acquisition proceedings. And, thus, the decision to acquire land could not be impugned on any ground of natural justice.

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[68] We are of the view that unlike *S Kulasingam* which deals with compulsory acquisition of land, s 9(1) of the IRA 1967 does not confer the right of compulsory recognition but is left to the discretionary power of the fourth respondent.

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[69] We do not share the view of the LHCJ that legitimate expectation does not arise on the basis that there is no legal requirement for the first to third respondents to consult the appellant before according recognition to the fourth respondent. This is a flawed view as, from a careful reading of the authorities cited to us, the doctrine of legitimate expectation is a creature of common law and entrenched in the Federal Constitution. It does not depend on any legislative basis but would apply as a matter of course where constitutional rights are affected.

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[70] It is undeniable that as the impugned decision would have the direct and obvious effect of adversely affecting the appellant's right to represent all non-executive employees in KTMB, the appellant ought to be granted a right to be heard before a decision of such a magnitude is made.

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[71] We, therefore, find that the first respondent had plainly acted in defiance of principles of natural justice in making the decision without prior consultation with the appellant which the LHCJ failed to seriously consider.

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[72] The impact of the decision of the first respondent as an authority in the public sphere has to be borne in mind as an uppermost consideration which, as

- A a matter of necessity, requires prior consultation with the appellant who on record had 60 years' experience in representing and advancing the rights of all locomotive drivers of KTMB.
- B [73] A decision to recognise the fourth respondent as the union to represent the same class of workmen in lieu of the appellant would obviously have wide-ranging effects which would, in principle, require that rules of natural justice be strictly adhered to. Hence, the making of the decision thereof without consulting the appellant would, in our view, be devoid of justification based on the flimsy reasons given by the first and second respondents. It is only through the process of consultation and engagement with the relevant parties could the DGTU satisfy himself as to the correctness and fairness of his decision.
- C
- D [74] As impressed upon us by the appellant, the High Court should have borne in mind the correct principles as to the interpretation of statutes which in the instant case would require that the Minister, the DGIR and the DGTU in exercising their respective functions ought to advance a purpose which is consistent with the objects and rules of the governing legislation. Effect must be given to its legislative intent. In our view, the decision to grant recognition to the fourth respondent should not be taken as a mechanical process without any application of mind in contrast to the registration process.
- E
- F [75] In arriving at her decision, the LHCJ appears to have overlooked the spirit and objects of the IRA 1967 and the TUA 1959. Both the legislation are, indisputably, social legislation aimed at creating industrial harmony. The long title for IRA 1967 reads as follows:
- G An Act to promote and maintain industrial harmony and to provide for the regulation of the relations between employers and workmen and their trade unions and the prevention and settlement of any differences or disputes arising from their relationship and generally to deal with trade disputes and matters arising therefrom.
- H [76] It follows that the first and second respondents in exercising their powers must act in accordance with the objects of these legislation as intended by Parliament. In support of this proposition, our attention was drawn to the following Court of Appeal decisions:
- I (a) *Syarikat Kenderaan Melayu Kelantan Bhd v Transport Workers' Union* [1995] 2 MLJ 317; [1995] 2 CLJ 748 (CA):
- In my judgment, this approach when applied to the interpretation of welfare or of social legislation demands that such legislation must ex necessitate rei receive a liberal interpretation in order to achieve the object aimed at by Parliament. There is respectable authority that supports this view.
- (b) *National Union of Bank Employees v Director General of Trade Unions &*

Anor [2015] 1 MLJ 881; [2015] 10 CLJ 62 (CA):

(i) What is essential to note is that registration under the TUA 1959 itself does not permit the second respondent to represent the employees without obtaining 'recognition' under s 9 of the Industrial Relations Act 1967 (IRA). Both of these Acts in a way must be seen to be social legislation to promote, preserve and protect the employees as well as the employers' right to create what we often term as 'industrial harmony' for successful 'Nation Building'. Industrial Jurisprudence does not just depend on the cold letters of the law per se or procedural requirement to decide on issues affecting the employer or employee unless the law as well as case laws are clear on the issues.

[77] A corollary of the promotion of industrial harmony would, as correctly suggested by the appellant, include a prevention of multiplicity of trade unions representing the same group of employees in a trade or occupation consistent with s 12(2) of the TUA 1959 as held by the Federal Court in the *NUBE* case as follows:

[90] The circumstances as borne out from the facts of the case as disclosed from the affidavits in support and in opposition of the application, demonstrate the need for further deliberation and consideration by the DG in arriving at his decision. There is already an existing trade union representing and catering for the same particular industry and it ought to have dawned upon the DG that multiplicity of trade unions in respect of the same occupation would not be in the best interest of industrial harmony.

[78] This proposition is supported by a host of prior authorities to the effect that the interest of workmen is paramount in the exercise of statutory powers by the Minister of Human Resource/Labour in making his decision on the registration of unions (see *Persatuan Pegawai-Pegawai Bank Semenanjung Malaysia v Minister of Labour, Malaysia & Ors* [1989] 1 MLJ 30; [1989] 1 CLJ Rep 124 (SC)).

[79] In *Kesatuan Pegawai-Pegawai Bumiputra-Commerce Bank Bhd (Kepak Bumi-Commerce) v Association of Bank Officers, Peninsular Malaysia* [2007] 1 MLJ 37 (CA), per Gopal Sri Ram, JCA (as he then was) held, inter alia, that:

... [7] the Director General also failed to take into account the considerations set out in s 12(2) of the Act. It is settled law that a public decision maker who fails to take into account relevant considerations and makes a decision not in accordance with law is liable to be quashed on an application for judicial review: See *Anisminic Ltd v Foreign Compensation Commission & Anor* [1969] 2 AC 304.

[80] We are convinced that s 9 of the IRA 1967 cannot be read in isolation and it is mandatory on the part of the first respondent to consider the wider interests of all KTMB locomotive drivers whether or not they would be better represented by the appellant or TDU. It is only upon recognition of the fourth

A respondent under s 9 of the IRA 1967 that the registration under s 12 of the TUA 1959 would be rendered effective. Hence, the decision to accord recognition would have far-reaching implications and naturally, the appellant ought to have been heard and consulted beforehand.

B [81] It is clear to us that, in this regard, the LHCJ fell into error when she
viewed the two processes in isolation and failed to appreciate the inextricable
link between the same notwithstanding that each is governed by a different
legislation. Logically, in line with the ratio of the Federal Court in the *NUBE*
C case, a correct decision cannot be achieved without there being a prior
consultation with the other players in the industry.

D [82] The appellant contended that the LHCJ erred in law and/or in fact in
failing to take into consideration that it is a settled public law principle
consistent with rules/principles of natural justice that a public decision-making
body is under a duty to give reasons for its decision even in the absence of a
statutory duty to give reasons. Further, that the decision was procedurally
flawed as the Minister had failed to communicate the same to the appellant,
and had not given the appellant the reasons for his decision. Reliance was
E placed on *Kesatuan Pekerja-Pekerja Bukan Eksekutif Maybank Bhd* where the
Federal Court held that ‘it is reasonable and appropriate to imply that he ought
to have given reasons for his decision’.

F [83] In rejecting the appellant’s proposition, the LHCJ found support in
Pendaftar Pertubuhan v Datuk Justin Jinggut [2013] 3 MLJ 16, where the
Federal Court held that where an Act of Parliament does not provide an express
statutory duty to give reasons, then the said duty does not arise:

G With respect, I unable to agree with the applicant. Firstly, it is an *established position*
of law that there is no general duty universally imposed on all decision makers to give
reasons for their decision. Secondly, *ss 16(1) and 13 of the Act do not require the ROS*
to give reasons for his decision. There is no express statutory duty imposed on the ROS
to give reasons to the applicant. (Emphasis added.)

H [84] In submitting that the LHCJ had erred in holding as she did on this
point, the appellant relied on the Federal Court decision in the *NUBE* case
where the circumstances were similar to the present and it was held on the
statutory duty to give reasons as follows:

I [87] *The absence of any provision in the statute requiring the decision maker to give*
reasons ought not to be understood or taken to mean that there is no such duty to give
reason unless that very statute specifies that no reason needs be given. The absence of such
a provision ought not to be regarded as cloak under which the decision maker can hide
his rationale for making the decision, privy only to himself but a mystery to the interested
parties or the public at large.

[88] *In a case where the decision is one that is straight forward and one that is not mired*

in circumstances that would invite further or deeper rationalisation, then, perhaps the need to give reason by the decision maker may not arise. The circumstances arising in the particular case may by implication, demand the imposition of the duty to give reasons. Lord Mustill in the House of Lord case of Doody v Secretary of State for the Home Department and Other Appeals [1993] 3 All ER 92 said:

I accept without hesitation ... that the law does not at present recognise a general duty to give reasons for an administrative decision. Nevertheless it is equally beyond question that such a duty may in appropriate circumstances be implied. (Emphasis added.)

[85] The respondents' position on this purported procedural flaw by the first to third respondents was that this ground of appeal should fail because when there is no statutory requirement for the first respondent to give reasons for his decision, he thus, cannot be compelled to do so. In this case, the respondents, it was contended, had followed the statutory process and procedure provided under s 9 of the IRA 1967, and as such, the decision of the first respondent was not tainted with any infirmities that warrant an intervention of the High Court and/or the Court of Appeal.

[86] The fourth respondent submitted that the LHCJ in her grounds of judgment had rightly referred to the cases of *Pendaftar Pertubuhan v Datuk Justin Jinggut* (FC) and *Minister Of Labour, Malaysia v Chan Meng Yuen and another appeal* [1992] 2 MLJ 337 (SC) which, in essence, held that there is no general duty universally imposed on all decision makers to give reasons for their decision, specifically when there is no such duty imposed by law.

[87] In the LHCJ's view, as the first to third respondents had adhered to the statutory procedures prescribed in s 9 of the IRA 1967, the Regulations thereunder and had considered the secret ballot which showed that a majority of KTMB train drivers (85.59%) had become members of TDU to represent them, recognition had to be accorded to TDU as a national union exclusively for train drivers. Be that as it may, it is our view, that the cardinal principle enunciated by the Federal Court imposing a general duty on administrative decision makers to give reasons for their decision should prevail under the circumstances of this case. We are in agreement with the appellant that this is not a case that is straight-forward and one that is not mired in circumstances that would invite further or deeper rationalisation.

[88] Lastly, the appellant contended that the impugned decision is irrational as it is unreasonable and does not take into account relevant considerations. It was contended that the LHCJ had erred in law and/or in fact in failing to hold that the impugned decision is flawed and tainted on this ground.

A [89] As we have found serious procedural flaws in the decision-making process by the first to third respondents, which centred around a blatant disregard for established principles of natural justice that rendered the impugned decision by the Minister to accord recognition to the fourth respondent open to be declared void, we do not propose to state our views on whether the decision suffers from irrationality or unreasonableness. In other words, whether the decision, on its merits, is tainted on the ground of unreasonableness.

C [90] In any event, the LHCJ does not appear to have dealt with this ultimate ground of appeal except to conclude that she found no reason to interfere with the decision made by the Minister on the basis that it was not tainted with any form of irrationality, illegality, or procedural impropriety (*Minister of Labour, Malaysia v Lie Seng Fatt* [1990] 2 MLJ 9 referred to).

D CONCLUSION

E [91] To sum up, we have duly considered the facts surrounding this appeal, the submissions of the respective parties through counsel, the principles of law applicable and the issues of law and fact canvassed for our determination.

F [92] It is our considered view that the LHCJ had erred in principle and/or had failed to correctly apply settled principles relating to the issues at hand in dismissing the appellant's further JR application for an order of certiorari against the impugned decisions made by the first and third respondents to accord recognition to the fourth respondent to be registered as a Trade Union.

G [93] We would conclude that the impugned decisions were flawed in law for breach of established principles/rules of natural justice and administrative law that have been guaranteed by the Federal Constitution. We are not in agreement with the LHCJ's view that as DGTU had complied with s 12 of the TUA 1959 in regard to the fourth respondent's application for registration as a Trade Union on 10 February 2015, there was no legal requirement under s 9 of the IRA 1967 for first and third respondents to consult the appellant before according recognition to fourth respondent. This, in our view, is a fundamental error as it is inconsistent with basic principles of natural justice which require a right to be heard to be granted to the appellant as the sole or umbrella union vested with the right to represent non-executive employees of KTMB in service negotiations with the latter.

I [94] We also agree with the appellant's contention that the first and third respondents had acted in violation of the appellant's legitimate expectation to be consulted and to be given an opportunity to make representations and/or to participate in the process of the application for recognition by the fourth

respondent before any decision is made by the third respondent that would ultimately affect the rights of the employees represented by the appellant.

[95] For primarily these reasons, we find sufficient merits in law and fact in this appeal that would justify the LHCJ's decision dated 5 July 2017 being interfered with and set aside. We would, therefore, allow this appeal with costs and set aside the decision of the High Court and quash the impugned decisions of the first and third respondents by an order of certiorari.

Appeal allowed; High Court's decision set aside and quashed.

Reported by Ashok Kumar

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